



PROPOSAL · CONFIDENTIAL

RISK-BASED EHS AUDIT & LIVING COMPLIANCE PROGRAM.

PREPARED FOR INTEGRATED WATER SERVICES — A BASELINE THAT
WALKS THE FLOOR, TRACKS TO CLOSURE, AND GROWS INTO A
SAFETY CULTURE YOUR CREWS IDENTIFY WITH.

PREPARED FOR

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1987

IMPROVING SAFETY SINCE

Integrated Water Services

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Via e-mail

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Kilgore, Texas
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PROPOSAL TO CONDUCT A RISK-BASED EHS BASELINE AUDIT AND DELIVER A LIVING COMPLIANCE PROGRAM FOR THE INTEGRATED WATER SERVICES PLATFORM

Thank you for the opportunity to propose a Baseline Environmental, Health, and Safety (EHS) program for Integrated Water Services (IWS) and its operating companies. Canon Safety has run field safety programs in the country's most hazardous industrial environments since 1987 — gas detection, confined space, H2S response, and the daily discipline of crews going home whole. This proposal describes an audit built the way we run safety: on the floor, ranked by what can actually kill someone, and tracked until every finding is verified closed.

1 · PROJECT UNDERSTANDING

IWS is assembling a national water-treatment platform — fabrication and manufacturing, regional service centers, rental fleets, and mobile field crews working on customer sites daily. Recent acquisitions add facilities, workforces, and inherited EHS programs of varying maturity. Ownership requires a defensible baseline: which regulations apply, where each operation stands, what it costs to close the gaps, and a mechanism to ensure the gaps actually close. A point-in-time compliance report answers the first three questions. It does not answer the fourth. This proposal answers all four.

Canon's assessment evaluates three components as equals — **environmental stewardship, health & safety performance**, and **management system effectiveness** — producing an objective, comparable read of each acquired company's EHS maturity early in integration. Because the methodology repeats, every future acquisition inherits the same baseline playbook, and leadership sees the whole platform through one lens.

2 · APPROACH — THREE PHASES, ONE LIVING PROGRAM

PHASE 1

BASELINE

A risk-ranked, site-by-site audit — records *and* reality. We walk the floor with the crews, ride along on field jobs, and verify programs where the work happens.

PHASE 2

TRACK

Every finding enters a live web hub with an owner, a date, and a status — visible from the boardroom to the breakroom, tracked to verified closure with a 90-day walkdown.

PHASE 3

GROW

A peer observation and recognition program, weekly topics, and quarterly reviews that turn the audit's structure into a safety culture the workforce sustains itself.

Audit depth is allocated top-down through a water-treatment risk hierarchy (Section 3): catastrophic-severity exposures receive field verification at every site, every time; frequent lower-severity exposures are engineered into daily habits through the Phase 3 program. Where exposure sampling is warranted — noise dosimetry, welding fume, respirable dust, air quality — certified industrial hygiene professionals are engaged as a defined, scoped addition.

3 · WATER-TREATMENT RISK HIERARCHY — WHAT THE AUDIT IS BUILT AROUND

Drawn from OSHA and NIOSH fatality investigations, U.S. Chemical Safety Board findings, and published industry hazard data. Hazards — and every finding — are prioritized on five factors: **severity**, **likelihood**, **regulatory exposure**, **operational impact**, and **business impact**, severity leading the sort. Each facility is re-scored during Phase 1.

SEVERITY	HAZARD EXPOSURES	AUDIT RESPONSE
TIER 1 CATASTROPHIC	Confined space & toxic atmosphere (H2S · methane · O2 deficiency); treatment-chemical gas release (chlorine · ozone · ammonia); engulfment & drowning; hazardous energy / machine entanglement; electrical & arc flash in wet environments; digester methane & hot work; vehicle exposure for field crews	Field verification at every site, every time: atmosphere testing practice, rescue-plan walkthroughs at live entry points, lockout audits on real equipment, alarm function tests, DOT file audit, telematics review
TIER 2 CRITICAL	Falls from height; chemical contact burns & splashes; struck-by / caught-between in lifting & rigging; trenching & excavation on installs	Equipment and anchor-point walkdowns, live task observation, operator certification currency, competent-person verification on field jobs
E-SERIES ENVIRONMENTAL	Uncontrolled environmental release — reportable spills, discharge exceedances, lapsed or violated permits (ranked on regulatory exposure and business impact)	Permit inventory & enforcement history, DMR practice, SPCC & containment walkdown, manifests, spill readiness (Framework Section 10)
TIER 3 SERIOUS	Pathogen & biological exposure; respirable dust & welding fume (silica · hexavalent chrome · carbon); noise-induced hearing loss; heat stress	Program review plus exposure screening; certified IH sampling scoped where screening flags it
TIER 4 FREQUENT	Slips, trips & same-level falls on wet surfaces; manual handling & ergonomics; hand injuries & lacerations	Housekeeping and task walkdowns; converted into standing daily-observation topics in Phase 3 — where recordables actually come from

4 · SCOPE OF WORK — PHASE 1: RISK-BASED BASELINE AUDIT

TASK 1.1 — DESKTOP & RECORDS REVIEW

Review of written programs, environmental permits and compliance records (discharge monitoring reports, waste manifests, SPCC plans, Tier II filings), training matrices, OSHA 300/300A logs (verified against first-aid and claims records), enforcement history, prior audits, KPIs, and public regulatory databases. Training requirements are mapped role-by-role against the applicable standards, including state-plan requirements where they apply.

TASK 1.2 — SITE AUDITS & FIELD RIDE-ALONGS

On-site audits at each in-scope facility — fabrication, service centers, headquarters, and treatment operations — walking every program area of the audit framework (Section 5) with the crews who perform the work. Because IWS field crews carry the platform's largest exposure hours, Canon also observes live customer-site jobs — media service, installation, commissioning — including driver and DOT compliance.

TASK 1.3 — FINDINGS, COSTED CORRECTIVE ACTIONS & PROGRAM SKELETON

Each finding is risk-ranked on the Section 3 five-factor methodology — severity, likelihood, regulatory exposure, operational impact, business impact — and paired with a practical corrective action and an estimated cost-to-close: an integration budget, not just a risk color. The report also names existing strengths and positive practices worth carrying across the platform. Draft findings are delivered per facility for comment; final reports follow within three business days of consolidated comments. With the baseline, IWS receives the skeleton of a written, insurer-recognizable EHS program organized in the same section structure as the audit itself.

PHASE 2 — THE LIVING HUB: FINDINGS TRACKED TO VERIFIED CLOSURE

- **Live findings tracker** — every audit finding enters a secure web hub with an owner, a due date, and a status (Open → In Progress → Verified Closed). Nothing dies in a PDF.
- **Per-site compliance scorecards** — program, training, and closure metrics updated as items close; leadership dashboard access for ownership reporting.
- **Verified closure** — corrective actions are confirmed by Canon walkdown, not assumed from an email.
- **Day-90 verification visit** — Canon returns, re-scores each site, and turns the baseline into a trendline.

PHASE 3 — THE CULTURE PROGRAM: FROM AUDIT TO IDENTITY

- **Peer observation program** — short, practical observation cards (good calls and watch items) from shop floor and field jobs, modeled on the daily observation system Canon operates across live heavy-industrial programs.
- **Recognition engine** — named recognition rotated through the whole crew, on the hub and in the breakroom. When crews see their forms being read, the forms keep coming.
- **Weekly safety topics** — tuned to water-treatment operations and fed by actual observations and findings.
- **Quarterly reviews** — compliance re-scoring, KPI benchmarking against industry peers, and board-ready reporting.

5 · AUDIT FRAMEWORK — TEN SECTIONS, ONE DOCUMENT FAMILY

The audit follows the contractor safety-program structure recognized across heavy industry, translated to water treatment and extended with a dedicated environmental stewardship chapter. Each section is an audit chapter in Phase 1, a findings category in the hub in Phase 2, and a chapter of the written IWS EHS program going forward:

1 · Commitment to Safety — signed leadership policy & stop-work authority
2 · Employee Responsibilities — conduct, housekeeping, injury reporting
3 · Orientation & Training Matrix — role-based, standard-mapped
4 · Injury & Incident Management — investigation, return to work, OSHA log verification
5 · Emergency Action & Response — site-specific, drilled, rescue-ready

6 · Employee Protections & Records Access — incl. 29 CFR 1910.1020
7 · Vehicle Use, MVR Grading & Fleet — DOT, hazmat, telematics
8 · Safe Work Procedures — Water Treatment — the operational core, matched to the risk hierarchy
9 · Acknowledgement & Continuous Improvement — signed, enforced, alive; incl. contractor management
10 · Environmental Stewardship — permits, water & waste, run with safety's discipline

The complete interactive framework — including per-section verification checklists and the live hub demonstration — is available in the Canon Safety × IWS Partnership Hub accompanying this proposal.

6 · SCHEDULE — COMMITTED DATES, NOT COORDINATED INTENTIONS

MILESTONE	DELIVERABLE
WEEKS 1-2	Desktop and records review complete; hub configured; site visits locked on the calendar with each facility.
WEEKS 2-4	Site audits and field ride-alongs at all in-scope locations, scheduled around production — not against it.
WEEK 5	Draft findings live in the hub with owners, dates, risk ranks, and cost-to-close; review call with IWS leadership.
WEEK 6	Final per-site baseline reports issued within three business days of consolidated comments. Phase 2 tracking already running.
DAY 90	Verification walkdown: closures confirmed, sites re-scored, executive summary for ownership.

7 · PROFESSIONAL FEES

Canon proposes fixed fees — no time-and-materials meter, no budget uncertainty. Per-site pricing lets IWS scope the platform's real footprint and add facilities as the group grows. Fees below are presented for discussion and will be finalized with the agreed site list.

FEE SCHEDULE	DRAFT — FINAL WITH AGREED SITE LIST
Phase 1 — Risk-Based Baseline Audit (per-site fixed fee × agreed site list; includes field ride-alongs, DOT/fleet audit, costed findings, program skeleton)	\$ —
Phase 2 — Living Hub, tracking to verified closure & day-90 verification visit	\$ —
Phase 3 — Culture & Continuous-Improvement Partnership (quarterly)	\$ — / qtr
Certified industrial-hygiene exposure sampling (scoped when screening warrants)	Quoted per scope
Total — Phases 1 + 2 (recommended)	\$ —

Fees are inclusive of travel within Texas and scheduled site regions, report production, and hub hosting for the engagement term. Invoicing per milestone. Canon will not exceed the authorized amount without prior written approval from IWS.

8 · STANDARD OF CARE

EHS auditing reflects conditions observed and records made available at the time of assessment, and no audit can guarantee the identification of every deficiency. Canon's commitment is different in kind from the usual disclaimer: findings are verified in the field before reporting, corrective actions are tracked to confirmed closure rather than left with the reader, and the day-90 verification visit re-tests the baseline in practice. Regulations subject to interpretation are flagged as such, with Canon's recommended reading and the practical path to compliance.

9 · WHY CANON SAFETY

- ☐ Thirty-nine years of field safety operations in hazardous industry — since 1987, Kilgore, Texas.
- ☐ Gas detection, confined space, and H2S response are our core trade — the same exposures at the top of the water-treatment risk hierarchy.
- ☐ We already operate the infrastructure this proposal delivers: live compliance dashboards, telematics-based driving scorecards, and a daily peer-observation program running across active industrial operations.
- ☐ An audit priced per site, findings costed in dollars, closure verified in person — built for an ownership group integrating acquisitions.

10 · CLOSING

Thank you for the opportunity to be of service to Integrated Water Services. This proposal is valid for sixty (60) days. To authorize Canon Safety to proceed, please execute below and return a copy; work begins immediately upon notice to proceed. For any questions or to walk through the accompanying Partnership Hub together, contact me directly.

Respectfully,

MICHAEL LYONS

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AUTHORIZATION TO PROCEED

Canon Safety Proposal CS-2026-IWS-001, dated July 28, 2026 — Risk-Based EHS Baseline Audit and Living Compliance Program for Integrated Water Services.

Accepted and approved by Integrated Water Services:

SIGNATURE

NAME & TITLE

DATE